The Ledger and the Spoils

Crypto decentralized the ledger, not the spoils. Why an internet owned by its users must decentralize the rewards — and how AI and crypto together finally can.

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A little over fifteen years ago, an idea arrived with a real claim on the future: that a network could belong to no one and to everyone at once — that you could have the coordination of an institution without an owner sitting at its center, taking a cut and writing the rules. Bitcoin proved the core of it. A ledger that no company kept and no government could quietly edit, maintained by thousands of strangers who did not need to trust one another. That was new, and it was real, and it mattered. The revolution decentralized the record.

But a record is not a reward, and that is where the revolution stopped short. Follow the money rather than the technology, and the pattern is hard to miss: the ledger was decentralized; the spoils were not. Ethereum, the platform that defined the era, created most of its coins before the public could mine a single one — roughly a sixth of the founding supply set aside for the team and its foundation, the largest single share going to one founder.[1] That much was disclosed, and it paid for a decade of genuine building. But it became the template, and the copies grew less principled with each cycle. The wave of initial coin offerings that followed sold tokens to the public while quietly reserving the largest tranches for founders and venture backers;[2] and at the far end of the same lineage sit the memecoins — tokens with no product and no promise, whose only real function is to move money from the many who buy them to the few who issue them. The blockchain beneath them was a marvel of decentralization. The economics built on top were a machine for concentration.

Honesty requires three corrections here, and each makes the charge sharper rather than softer. The first is that **Bitcoin is the exception that proves the rule.** It had no premine at all; its anonymous creator wrote a newspaper headline into the very first block as proof that no one had been given a head start, published the software for anyone to run, and never moved the roughly one million coins he mined.[3] Bitcoin's inequality is the ordinary kind — early risk, rewarded by time — not the kind that is handed to insiders in advance. The second correction is that the concentration was never confined to the rewards: the machinery itself drifted back toward the center, until a mere two mining pools came to produce around half of all Bitcoin blocks,[4] and a single service grew to hold nearly a third of all the ether staked to secure Ethereum.[5] The third is that the wealth figures must be stated with care — by one recent estimate Bitcoin's on-chain inequality sits a touch *below* that of the United States,[3] and such figures are blunt instruments, since one person may hold many addresses and an exchange may hold millions of people's coins in a few. So the accurate charge is not that crypto made everything worse. It is narrower and more damning: crypto decentralized the ledger and left the wealth and the power roughly as concentrated as it found them — and in its most extractive corners, more — all while announcing that it had abolished exactly that.

This is not the complaint of a skeptic shouting from outside the field. It is, in substance, what the field's most serious builder has been saying for years. Vitalik Buterin's own well-known account of decentralization names three axes — how many machines run the system, how many people control them, and whether its logic is unified — and not one of the three asks who ends up holding the wealth.[6] He has written plainly that one-token-one-vote governance is plutocracy, and that plutocracy is bad.[7] He has co-authored a paper whose premise is that web3, as actually built, revolves around transferable, financialized assets and carries a long-standing, unsolved problem of wealth concentration that it must find a way past.[8] When the person who built the second great network in this space tells you it decentralized the tokens but not the power, the diagnosis is no longer in serious dispute. What has been missing is not the insight. What has been missing is a design that does something about it.

The diagnosis matters more now than it did even a few years ago, because a second and far more powerful concentrating force has arrived. Artificial intelligence is, among other things, the most efficient engine ever built for turning the data of the many into value for the few. It learns from the digital shadows of billions of people and returns the gains to whoever owns the data and the models. Set the two technologies side by side and each turns out to carry one great virtue and one characteristic failure. Crypto's virtue is the idea that a network can own itself, with the rewards flowing back to the network rather than upward to a founder; its failure, so far, is that the rewards did not actually stay where they were promised. AI's virtue is that it can create extraordinary value from data at scale; its failure is that it delivers that value to the incumbents who already hold the most of it. **The flaw of each is the cure for the other.**

That is the wager of this project. *We the Users* is the deliberate merger of the two: AI's engine for turning data into value, mounted inside crypto's structure for letting a network own itself — built, this time, so that the rewards cannot quietly recentralize. Where the projects before it decentralized the ledger and let the upside pool at the top, this one fixes the upside in advance. Returns to founders, engineers, and investors are capped, so that no one is set permanently above the people who use the network. Each person's data stays with the person who casts it. And if those who run the network ever break the bargain, the Covenant gives the network the right to fork — to leave with itself intact and leave the operators behind. AI is what gives a user-owned network something worth owning; the caps, the fork, and the open Covenant are what keep it owned by its users once it *is* worth something — which is precisely the test the last fifteen years failed. Buterin has pointed at the same pairing from the other side, noting that crypto's methods are among the few credible ways to build AI that resists the very centralization the technology otherwise invites.[9]

There is one more thing the crypto era got right, and for a project built on collaboration it may matter most of all. Beneath the speculation, what these systems really demonstrated is that trust can be manufactured by amplifying the ability to verify — that *trust me* can be replaced, at scale, by *check for yourself*. Nick Szabo gave the idea its name: social scalability, the capacity of a system to take on more, and less familiar, participants without breaking down.[10] Personal trust does not reach far past the people we know; to cooperate beyond that, every society has had to build expensive machinery — courts, auditors, regulators, escrow agents — to vouch for strangers, and that machinery becomes its own center of cost and capture. What a public, verifiable ledger adds is the ability to lock in the integrity of what matters and let anyone confirm it directly, so that confidence in an opaque and changeable intermediary can be exchanged for confidence in a transparent and fixed rule. The newest cryptography sharpens this further still: a zero-knowledge proof can establish that a claim is true while revealing nothing beyond it — that a person is old enough, that a treasury is solvent, that a system followed its own rules — so that verifying need not mean exposing, and recent advances have made such proofs cheap enough to check on an ordinary computer. That is no small thing for what we intend, because cooperation has always been bounded by exactly this: reciprocal cooperation survives only where cheating can be seen, and a shared resource is governed well only where it can be monitored.[11] Verification is cheap, continuous monitoring built into the system rather than bolted on by an authority, so a bargain that can be verified can hold together among millions of near-strangers, where one that had to be taken on trust, or policed by a central referee, would have collapsed or been captured long before. A network like ours, then, need not ask its users to believe its central promises on faith — that the rewards flow back, that the returns are capped, that the data stays with the person who casts it. It can make them checkable. Verification is how a betrayal would be seen; the right to fork is what answers it. *Don't trust us; verify us*, and leave if the verifying ever fails.

Honesty demands the same care here as everywhere else in this argument. *Trustless* is a marketing word; these systems do not abolish trust so much as shrink it and move it[12] — you no longer trust a bank to keep the ledger, but you still trust the mathematics, the people who audit the code, the assumption that enough participants stay honest, and — hardest of all — the truth of whatever is reported to the system from the outside world, which no proof can vouch for. That last gap, between a faithful record and a true one, is where nearly every spectacular failure of the past decade actually happened. Buterin is plainer about this than the industry's salesmen: no system is ever fully trustless, and the real question is never whether to trust, but whom, how much, and what happens when that trust is betrayed.[13] The capability is real; what it is aimed at is a choice. Crypto mostly aimed it at speculation. We mean to aim it at collaboration.

None of this is guaranteed by good intentions; the graveyard of decentralization is crowded with them. The hard part was never decentralizing the record — Bitcoin did that in 2009. The hard part is keeping the rewards decentralized *after* the money arrives, which is the exact moment every earlier attempt quietly gave way. That is why the caps and the forkability and the public Covenant are not ornaments on this project but its load-bearing walls. The revolution that began with the ledger was right about the adversary and wrong about how much ground it had taken. We mean to finish it — on the side of the ledger that actually pays.

SOURCES & NOTES

1. "Sale of the Century: The Inside Story of Ethereum's 2014 Premine," *CoinDesk* (2020). Of roughly 72 million ETH at genesis, about 60 million went to public crowdsale buyers and roughly 12 million (~16.7%) was pre-created for insiders — split between some 83 early contributors and the Ethereum Foundation — with Vitalik Buterin the largest single recipient at about 553,000 ETH. https://www.coindesk.com/markets/2020/07/11/sale-of-the-century-the-inside-story-of-ethereums-2014-premine ↩
2. That heavy founder, team, and investor allocations are the norm is underscored by the attention a 2026 launch drew for reserving *nothing* for insiders — reported as "a departure from many exchange token rollouts." "Backpack launches BP token on Solana with 25% airdrop, no insider allocation," *CoinDesk* (2026). https://www.coindesk.com/business/2026/03/23/backpack-launches-bp-token-on-solana-with-25-airdrop-no-insider-allocation ↩
3. Bitcoin's genesis block embeds the headline "The Times 03/Jan/2009 Chancellor on brink of second bailout for banks" as evidence of no premine, and an estimated one million BTC mined by Satoshi Nakamoto have never moved. One 2024 on-chain analysis estimated Bitcoin's Gini coefficient at about 82.7%, modestly below the United States' figure of roughly 85% (2021) — though on-chain concentration measures are imprecise. Elementus, "Analyzing Bitcoin's Gini Coefficient" (2024). https://www.elementus.io/blog-post/bitcoins-gini-coefficient ↩↩
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8. E. Glen Weyl, Puja Ohlhaver, and Vitalik Buterin, "Decentralized Society: Finding Web3's Soul," SSRN (2022) — noting that web3, as built, centers on transferable, financialized assets and carries unresolved problems of wealth concentration and governance capture. https://papers.ssrn.com/sol3/papers.cfm?abstract_id=4105763 ↩
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10. Nick Szabo, "Money, blockchains, and social scalability" (2017) — which coined "social scalability" and identified trust minimization as the core social benefit of blockchains. https://nakamotoinstitute.org/library/money-blockchains-and-social-scalability/ ↩
11. Robert Axelrod, *The Evolution of Cooperation* (1984), on cooperation depending on the ability to detect defection; and Elinor Ostrom, *Governing the Commons* (1990), which identifies monitoring as a design principle of shared-resource institutions that endure. ↩
12. Kevin Werbach, *The Blockchain and the New Architecture of Trust* (MIT Press, 2018) — which frames blockchains as relocating trust onto a new architecture rather than abolishing it. https://mitpress.mit.edu/9780262547161/the-blockchain-and-the-new-architecture-of-trust/ ↩
13. Vitalik Buterin, "Trust Models" (2020) — that no system is ever fully trustless; the real questions are how many participants must behave as hoped, and how costly it is when they do not. https://vitalik.eth.limo/general/2020/08/20/trust.html ↩